Mayor's Office of Legislative Affairs

Bill number: 250768

Introduced by: Gauthier

Cosponsor(s): Thomas, Landau, Brooks, O'Rourke

Assigned committee: Environment

Date introduced: 09/18/2025

Fiscal Note

Overview

This bill would forbid contractors providing waste, recycling, or composting services to the City from burning the collected trash. The anticipated cost to the City is $6.3 to $15.3 million over five years.

Legislative Summary

City Contract Requirements

This bill would require a clause to be added to City contracts involving the transportation, transfer, processing, or disposal of trash. The clause would forbid contracted businesses from taking trash to any incinerator or waste-to-fuel facility. Additionally, this clause would forbid contracted businesses from taking trash to a transfer station for future transportation to an incinerator or waste-to-fuel facility.

Penalties for Contract Violations

Any false, deceitful, or misleading statements made by a business in a bid for a City contract or contract document would be considered a violation. Violations would be subject to the following penalties:

- The prospective bidder would be liable to the City in the amount of the bid surety bond provided by the bidder as liquidated damages.
- The contractor would be considered in breach of contract, and as consequence, the contract would be cancelled or terminated. Additionally, the City would withhold voucher payments due and owing under the contract.
- Businesses would become ineligible to bid on City contracts or subcontracts for up to five years.

City-Related Agencies

City-related agencies include:

- Any authority, government agency, or quasi-public corporation that receives City funds,
- Has a continual contractual or cooperative relationship with the City, or
- Operates under legal authority granted by City ordinance.

This bill would also require contracts between the City and any City-related agency to contain a provision requiring the City-related agency to also uphold the requirements of this bill when awarding any contracts.

Notice Requirements

This bill would require the City to give an appropriate notice and description of the duties, obligations, responsibilities, requirements, penalties, and sanctions required under this ordinance to bidders on contracts relating to the:

- Transfer
- Transportation,
- Processing,
- Recycling, or
- Disposal of trash.

Proposed Effective Date

This legislation would be effective immediately after enactment.

Fiscal Impact Analysis

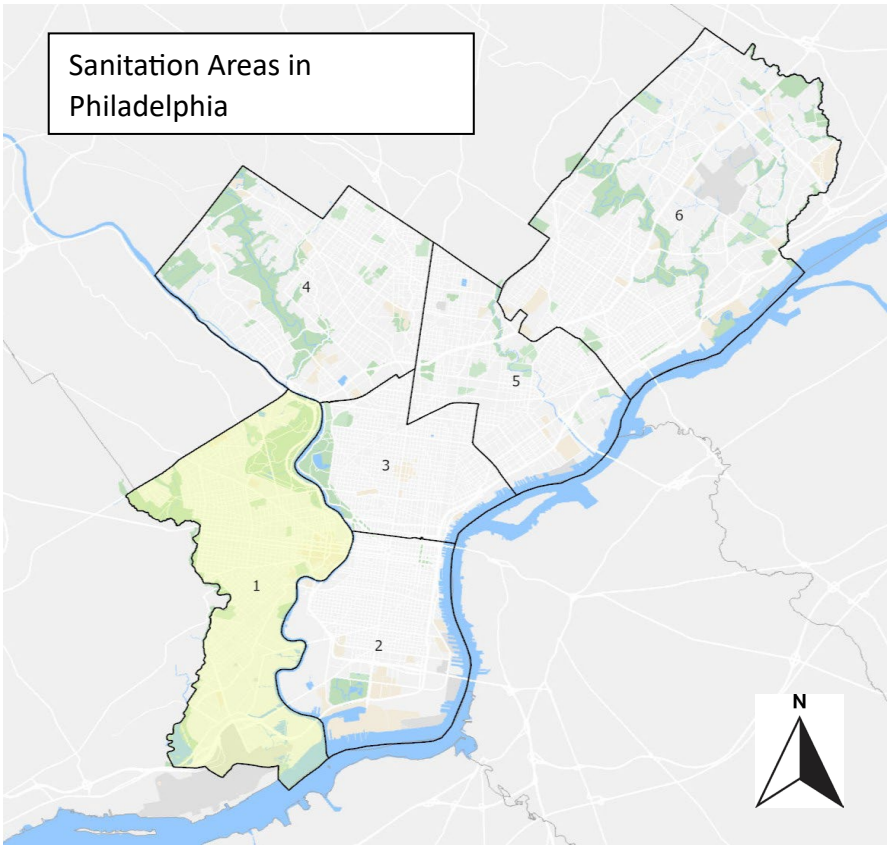
The estimated cost of implementing this legislation is summarized in the table below. The total cost is estimated to be $6.3 to $15.3 million over five years.

Fiscal Impact Summary	FY26	FY27	FY28	FY29	FY30	Total
Expenditure Increase/(Decrease) Class 100: Personal Services Overtime*	$250,000 - $1,250,000	$500,000 - $2,500,000	$500,000 - $2,500,000	$500,000 - $2,500,000	$500,000 - $2,500,000	**$2,250,000 $11,250,000**
Expenditure Increase/(Decrease) Class 200: Purchase of Services	$450,000	$900,000	$900,000	$900,000	$900,000	**$4,050,000**
Net Cost/(Savings)	**$700,000 - $1,700,000**	**$1,400,000 - $3,400,000**	**$1,400,000 - $3,400,000**	**$1,400,000 - $3,400,000**	**$1,400,000 - $3,400,000**	**$6,300,000 - $15,300,000**

*Changes in labor contracts are not reflected but could result in higher overall costs.

Department of Sanitation

If implemented, the Department anticipates that this legislation would significantly impact trash collection operations and future contract negotiations. The Department's trash collection operation divides the city into six sanitation areas, as depicted in the map below:



If implemented, this bill would effectively bar any City contracts involving burning trash disposal. After evaluating trash collection routes and operations, the Department determined that the sanitation area most impacted would be Area 1 in West and Southwest Philadelphia (highlighted in yellow). This legislation would cause a change in operations, where the Department would no longer transport trash from Area 1 to a waste-to-energy facility. Because of this change, the Department would transport Area 1's trash to a Transfer Station located in northwest Philadelphia. This change in operations would increase trash collection route times and reduce on-time trash collections in Area 1. As a result, the Department anticipates that overtime costs would increase by about 30 to 300 percent to make up for disruption in operations. The wide range in expected overtime costs largely depends upon:

- Whether City contractors have the availability to increase processing capacity for taking in trash collections from Area 1.
- Some contracted facilities may have permit limitations that impact how many trash trucks they may accept per day.

- This change in operations would require the Department to enter direct negotiations with city contractors.

Transporting the trash collections in Area 1 to the City's Northwest Transfer Station would also impact operations at the Transfer Station. The Department anticipates that this legislation would cause overtime costs to increase by 50 percent at the Transfer Station and reduce on-time collections. Additionally, the increase of the supply of trash collections at the Transfer Station would add $900,000 in disposal costs.

Impact on Future Contracts

It is difficult for the Department to determine the increased costs to future City contracts. Therefore, the potential for increased costs of future city contracts is not included in the Fiscal Summary Table, where costs assumed maintain current contract levels. However, this legislation would eliminate three potential disposal sites in the area, representing about 38 percent of the regional disposal capacity and one primary disposal contractor. The Department expects that eliminating potential bidders to city contracts would significantly impact contract pricing in FY 2026 and future years.

Legislative History

Not applicable.

Prepared by: Policy and Fiscal Analyst Unit, Mayor's Office of Legislative Affairs
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This document is a summary of proposed legislation as introduced and is prepared by the Mayor's Office of Legislative Affairs for general information only. It does not represent the official legal position of the City. Estimates are calculated using the best information available. Actual costs and revenue impact incurred may vary from estimates.